InvestProp

AI-POWERED PROPERTY CO-INVESTMENT PLATFORM

STRICTLY PRIVATE & CONFIDENTIAL

Strategic Partnership Proposal

An FSCA-Regulated Collaboration to Deliver Compliant, Fractional Property Co-Investment in South Africa

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This proposal is an invitation to discuss and does not constitute an offer capable of acceptance, financial or legal advice, or a solicitation to invest. Nothing herein creates a binding obligation on either party. Any collaboration will be subject to satisfactory due diligence, all necessary regulatory approvals, and the negotiation and execution of definitive written agreements. Figures, timelines, and commercial terms are indicative and provided for discussion only.

> **Purpose in one line:** Chalatsi Investment Solutions has built Investprop, a complete property co-investment platform. We are seeking a suitably licensed and FSCA-accredited partner to provide the regulated wrapper so the offering can be taken to market lawfully, safely, and at scale.

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1. Executive Summary

Property is South Africa's most trusted store of wealth, yet direct participation remains out of reach for most people because of high capital barriers, operational capacity, illiquidity, and heavy compliance requirements. Investprop is a fully-built, AI-powered platform that makes property investment accessible from R10,000.00 through fractional ownership held inside ring-fenced Special Purpose Vehicles (SPVs), with transparent reporting, tradable share certificates, and bank-grade FICA and POPIA processes.

To bring this offering to market in full compliance with South African financial services laws, Investprop is seeking a partnership with a licensed, FSCA accredited institution. Investprop provides the property investment opportunities, technology, deal origination, operations, and customer experience; the Partner provides the regulated licence, oversight, and approved product structuring. Together we can deliver a compliant, scalable, and differentiated product to a large, underserved market.

What we are asking of the Partner

- Provide the FSCA regulated licence and product under which the offering operates.
- Provide regulatory oversight, approval, and sign-off of investor-facing structures and disclosures.

- Act as (or appoint) the responsible regulated entity for the relevant financial services.
- Collaborate on a compliant go-to-market under a mutually agreed commercial arrangement.

What Investprop brings

- A complete, deployed technology platform covering the full co-investment lifecycle.
- Deal origination, SPV administration, investor onboarding, and ongoing operations.
- AI-assisted deal analysis, risk monitoring, and portfolio reporting.
- Established FICA/KYC, POPIA, audit-logging, and transparency tooling.

2. About Investprop

Investprop is an AI-powered property co-investment platform that lets investors participate in vetted property deals from R10,000.00 per opportunity. Each property is held in a ring-fenced SPV, giving investors a clean, proportional ownership stake evidenced by a digital share certificate.

Core capabilities (already built and operational)

- **Fractional ownership** via ring-fenced SPVs, capped in line with the Companies Act.
- **Three investment strategies:** property flips, rental bonds, and developments.
- **AI copilots:** deal scoring, portfolio briefs, and early-warning distress alerts.
- **Tradable share certificates** with a share ledger and internal marketplace for liquidity.
- **Distributions & voting** so investors receive income and exercise shareholder rights.
- **Transparency:** itemised use-of-funds breakdowns and live campaign progress on every deal.
- **Compliance tooling:** FICA/KYC verification, POPIA-aware data handling, immutable audit logs.
- **Financial engine:** DSCR, IRR, cap rate, yield, and downside/base/upside sensitivity modelling.

3. The Market Opportunity

Millions of South Africans are excluded from property investing by the need for large deposits and transfer costs, a lack of transparency, and the absence of liquidity. At the same time, property owners seeking capital or a fair exit have few structured options. Investprop addresses both sides of this gap.

- **Demand side:** a large, underserved base of aspirant investors seeking accessible, credible property exposure.
- **Supply side:** a pipeline of vetted flips, rentals, developments, and distressed/motivated-seller opportunities.
- **Structural tailwinds:** growing appetite for fractional and digital investment products.

4. Why a Regulated Partner — The Regulatory Rationale

Investprop is **not currently FSCA-accredited**. Offering fractional, pooled, or managed investment products to the public in South Africa engages a number of regulated activities. Rather than delay market entry, we have chosen the responsible route: partnering with an established, licensed institution that already holds the relevant accreditation and can provide proper regulatory oversight.

Regulatory areas the partnership is intended to address

Area	Relevance to the offering
FAIS (Financial Advisory & Intermediary Services Act)	Where advice or intermediary services are provided in relation to financial products.
CISCA / Collective Investment Schemes	Where investor funds are pooled and collectively managed, a licensed CIS manager may be required.
FSCA licensing & conduct standards	Ongoing conduct, disclosure, suitability, and reporting obligations.
FICA (anti-money-laundering / KYC)	Customer due diligence, verification, and record-keeping — supported by our tooling.
POPIA (data protection)	Lawful processing of personal information — supported by our tooling.
Companies Act (SPV structuring)	Ring-fenced SPVs, share issuance, and investor caps.

5. Proposed Partnership Models

We propose exploring one (or a combination) of the following structures, to be finalised with the Partner:

Model A — Licensed CIS / Product Manager

The Partner acts as the licensed manager of the investment product (e.g. a collective investment or approved structured product). Investprop provides technology, origination, administration, and distribution support under the Partner's licence and oversight.

Model B — FSP Mandate & Juristic Representative

The Partner (a licensed Category I/II FSP) appoints Investprop and/or its key individuals as representatives under a mandate, with the Partner supervising the regulated activities and approving all client-facing material and processes.

Model	Best suited when the Partner is…	Investprop's role
A — CIS / Product Manager	A licensed CIS or product manager (CISCA)	Technology, origination, administration, support
B — FSP Mandate	A licensed Category I/II FSP (FAIS)	Appointed representative under supervision

6. Roles & Responsibilities

Indicative division of responsibilities (to be finalised in the definitive agreement). R = Responsible, S = Support.

Function	Investprop	Partner
FSCA licence	S	R
Regulatory oversight & conduct supervision	S	R
Approval of investor disclosures & suitability	S	R
Technology platform & product engineering	R	S
Deal origination & due diligence	R	S
SPV administration & share issuance	R	S
Investor onboarding, FICA/KYC capture	R	S
Monitoring & regulatory reporting	S	R
Marketing & customer experience	R	S
Investor support & communications	R	S
Distributions, statements & tax records	R	S

7. Compliance, Risk & Governance Framework

Investprop has built compliance into the platform as a first-class capability that supports the Partner's obligations:

- **FICA / KYC:** identity verification workflow with document capture and status tracking.
- **POPIA:** POPIA-aware data handling with subject-access export for data requests.
- **Audit trail:** immutable logging of privileged actions with user, IP, and before/after changes.
- **Investor protection:** cooling-off period, risk disclaimers, and an appropriateness questionnaire.
- **SPV governance:** Companies Act-aligned structures, investor caps, and legal-document generation.
- **Security:** hashed credentials, token rotation, email verification, and role-based access control.
- **Transparency:** itemised use-of-funds, financial statements, and downloadable tax certificates.

A joint compliance working group is proposed to align the platform's controls with the Partner's policies and the FSCA's conduct standards.

8. Technology & Operations

The platform is a modern, secure, end-to-end system that is already built and deployed:

- **Investor experience:** opportunity discovery, financing calculator (DSCR, IRR, stress tests), portfolio, and documents.
- **Manager tooling:** acquisitions pipeline, budgets, milestones, contractor management, and campaigns.
- **Ownership & liquidity:** share certificates, share ledger, marketplace, distributions, and voting.
- **AI layer:** deal scoring, portfolio briefs, and distress early-warning across leading AI providers.
- **Reporting:** SPV income statements, balance sheets, investor statements, and tax reports.

9. Indicative Commercial Terms

All figures are to be negotiated.

Item	Indicative basis (to be agreed)
Partnership model	Model A or B

Revenue share	65% Investprop, 35% Partner of net platform fees
Platform / management fee	2% per property flat rate (still under review)
Performance / success fee	2% per property sold
Setup & onboarding costs	None

10. Implementation Roadmap

Phase	Indicative timing	Key activities
0. Mutual NDA	Week 1	Execute NDA; exchange corporate and compliance information.
1. Fit & due diligence	Week 2	Confirm licensing route, product structure, and mutual due diligence.
2. Term sheet	Weeks 3-4	Agree partnership model and indicative commercial terms.

3. Definitive agreements	Weeks 4-5	Negotiate and execute legal agreements; finalise governance.
4. Compliance integration	Weeks 5-7	Align controls, disclosures, and reporting; joint compliance sign-off.
5. Pilot launch	Weeks 8-16	Controlled launch with a limited set of deals and investors.
6. Scale	Months 6+	Expand deal pipeline, investor base, and marketing.

11. What the Partner Gains

- A new, technology-led revenue stream with no need to build the platform in-house.
- Access to an underserved retail market and a differentiated fractional-property product.
- A ready-made, compliance-aware operating platform that supports oversight obligations.
- Brand association with an innovative, transparent, AI-powered offering.
- A structured, low-friction path to expand the Partner's product shelf.

12. Due Diligence Pack Available

On execution of an NDA, we can promptly provide:

- Company registration and ownership details.
- Platform demonstration and technical/security overview.
- Compliance tooling walkthrough (FICA, POPIA, audit logging).
- Sample SPV structure and investor documentation.
- Financial model

13. Proposed Next Steps

1. Execute a mutual non-disclosure agreement.
2. Hold an introductory call and live platform demonstration.

3. Confirm the preferred partnership model and licensing route.
4. Agree a term sheet and proceed to definitive agreements.

We would welcome the opportunity to present this to your team at your convenience. Please contact Thapelo Chalatsi at 078 3800 308 email thapelochalatsi@square15.co.za to arrange a meeting.

14. Signatures

Signature of this proposal indicates a mutual intention to explore the partnership in good faith and is not, by itself, legally binding. Any binding commitment will arise only from definitive written agreements.

For and on behalf of Chalatsi Investment Solutions	For and on behalf of _____
_____ Name: Thapelo Chalatsi	_____ Name: _____
_____ Title: Managing Director	_____ Title: _____
_____ Date: 31 August 2026	_____ Date: _____

Appendix A — Glossary

Term	Meaning
FSCA	Financial Sector Conduct Authority — the South African market-conduct regulator.
FAIS	Financial Advisory and Intermediary Services Act.
CISCA	Collective Investment Schemes Control Act.

FICA	Financial Intelligence Centre Act — anti-money-laundering and KYC.
POPIA	Protection of Personal Information Act — data-protection law.
SPV	Special Purpose Vehicle — a ring-fenced company holding a single property.
DSCR	Debt Service Coverage Ratio.
IRR	Internal Rate of Return.

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